

Carlos got there right in time to see things happening in that market. When he joined the bank, the market for emerging market debt instruments was small and traders were located in undesirable parts of trading floors. But the activity rapidly became a large, and growing, part of the bank's revenues.

He was generic among this community of emerging market traders; they are a collection of cosmopolitan patricians from across the emerging market world that remind me of the international coffee hour at the Wharton School. I find it odd that rarely does a person specialize in the market of his or her birthplace. Mexicans based in London trade Russian securities, Iranians and Greeks specialize in Brazilian bonds, and Argentines trade Turkish securities. Unlike my experience with real traders, they are generally urbane, dress well, collect art, but are non-intellectual. They seem too conformist to be true traders. They are mostly between 30 and 40, owing to the youth of their market. You can expect many of them to hold season tickets to the Metropolitan Opera. True traders, I believe, dress sloppily, are often ugly and exhibit the intellectual curiosity of someone who would be more interested in the information-revealing contents of the garbage can than the Cézanne painting on the wall.

Carlos thrived as a trader-economist. He had a large network of friends in the various Latin-American countries and knew exactly what took place there. He bought bonds that he found attractive, either because they paid him a good rate of interest, or because he believed that they would become more in demand in the future, therefore appreciating in price. It would be perhaps erroneous to call him a *trader*. A trader buys and sells (he may sell what he does not own and buy it back later, hopefully making a profit in a decline; this is called "shorting"). Carlos just bought – and he bought in size. He believed that he was paid a good risk premium to hold these bonds because there was economic value in lending to these countries. Shorting, in his opinion, made no economic sense.

Within the bank Carlos was the emerging markets reference. He could produce the latest economic figures at the drop of a hat. He had frequent lunches with the chairman. In his opinion, trading was economics, little else. It had worked so well for him. He got promotion after promotion, until he became the head trader of the emerging market

desk at the institution. Starting in 1995, Carlos did exponentially well in his new function, getting an expansion of his capital on a steady basis (i.e., the bank allocated a larger portion of its funds to his operation) – so fast that he was incapable of using up the new risk limits.

THE GOOD YEARS

The reason Carlos had good years was not just because he bought emerging market bonds and their value went up over the period. It was mostly because he also bought dips. He accumulated when prices experienced a momentary panic. The year 1997 would have been a bad year had he not added to his position after the dip in October that accompanied the false stock market crash that took place then. Overcoming these small reversals of fortune made him feel invincible. He could do no wrong. He believed that the economic intuition he was endowed with allowed him to make good trading decisions. After a market dip he would verify the fundamentals, and, if they remained sound, he would buy more of the security and lighten up as the market recovered. Looking back at the emerging market bonds between the time Carlos started his involvement with these markets and his last bonus check in December 1997, one sees an upward sloping line, with occasional blips, such as the Mexican devaluation of 1995, followed by an extended rally. One can also see some occasional dips that turned out to be "excellent buying opportunities".

It was the summer of 1998 that undid Carlos – that last dip did not translate into a rally. His track record today includes just one bad quarter – but bad it was. He had earned close to \$80 million cumulatively in his previous years. He lost \$300 million in just one summer. What happened? When the market started dipping in June, his friendly sources informed him that the sell-off was merely the result of a "liquidation" by a New Jersey hedge fund run by a former Wharton professor. That fund specialized in mortgage securities and had just received instructions to wind down the overall inventory. The inventory included some Russian bonds, mostly because *yield hogs*, as these funds are known, engage in the activity of building a "diversified" portfolio of high-yielding securities.